

ORACLE FUSION EXPENSES

Per Diem Rate Calculation Methods

Explanation, Examples & Country Policy Mapping

Business Unit	Global Operations Business Unit
Template	GLOBAL-OPS-TEMPLATE1
Topic	Per Diem Rate Calculation Methods — Configure Per Diem Policy
Methods Covered	Daily rate Sum of separate rates Daily time range rates Sum of separate time range rates
Document Date	May 2026
Version	1.0

Section 1 — What Is a Rate Calculation Method?

When you create a Per Diem Policy in Oracle Fusion (Setup and Maintenance → Expenses → Manage Policies by Expense Category → Category: Per Diem), the Rate Calculation Method field controls exactly how Oracle calculates the daily travel allowance for each expense report submission.

There are four methods available in the dropdown. Your choice determines:

- Whether the rate is a flat daily amount or varies by hours of absence
- Whether the allowance is a single total or split into meal/accommodation components
- What rows and fields you need to enter in the ADFdi Excel rate upload spreadsheet

IMPORTANT: Lock-in Warning

The Rate Calculation Method **MUST** be set correctly before clicking Save. Oracle locks the method once rates are uploaded. To change it, you must delete the policy and recreate it from scratch.

Method	Rate Type	Components?	Complexity
1 — Daily rate	One flat rate per day	No — single total	Simplest
2 — Sum of separate rates	Fixed rate per component	Yes — meals + accommodation	Moderate
3 — Daily time range rates	Rate varies by hours absent	No — single total per band	Moderate
4 — Sum of separate time range rates	Each component has time thresholds	Yes — each with its own bands	Most complex

Section 2 — Method 1: Daily Rate

Overview

Oracle pays one fixed flat amount per calendar day (or 24-hour period) regardless of how many hours the employee was absent from home or office. No breakdown into meals or accommodation components. Whether the employee was away for 8 hours or 23 hours on that day, exactly the same rate applies.

Use this when: Your policy is simple — one fixed allowance per travel day, same for all employees, no component split needed. Most commonly used for foreign travel where each destination country has a single published daily rate.

Example — Foreign Per Diem (Flat Daily Rate Policy)

Scenario: Employee travels Mon–Wed (3 days) to Destination Country. Policy = EUR 40 flat per day. Employee was absent 8h on Mon, 22h on Tue, 10h on Wed.

Day	Hours Absent	Rate Applied	Daily Amount
Monday	8 hours	EUR 40 flat — hours irrelevant	EUR 40.00
Tuesday	22 hours	EUR 40 flat — hours irrelevant	EUR 40.00
Wednesday	10 hours	EUR 40 flat — hours irrelevant	EUR 40.00
TOTAL (3 days × EUR 40)			EUR 120.00

Oracle Configuration — Method 1

Field	Value / Setting
Rate Calculation Method	Daily rate
Rate Currency	Single currency OR Location rate currency for foreign policies with multi-currency
Duration determinant	NOT needed — do not check this box
Location determinant	Check this box if different countries/cities have different flat rates
Meals Deduction	Optional — enter % per meal if employer-provided meals must reduce the daily rate
ADFdi: what to enter	One row per country/city: enter daily currency amount + policy start date

Section 3 — Method 2: Sum of Separate Rates

Overview

The per diem is split into individual components — typically Breakfast, Lunch, Dinner, and optionally Accommodation or Incidentals. Each component has its own fixed rate. Oracle sums only the components the employee selects on their expense report. If the employer provides a meal, that component is removed from the total.

Use this when: Your policy breaks allowances into meal components and employees can claim only what applies (e.g. only dinner if they left late). Common when employer catering must be tracked and deducted precisely from individual meal components.

Example — Component-Based Policy

Scenario: Employee travels Monday only. Policy: Breakfast EUR 10 | Lunch EUR 20 | Dinner EUR 20 | Accommodation EUR 80. Employer provided lunch. Employee stayed overnight.

Component	Rate	Employer Provided?	Amount Paid
Breakfast	EUR 10.00	No	EUR 10.00
Lunch	EUR 20.00	YES — employer provided	EUR 0.00 (deducted)
Dinner	EUR 20.00	No	EUR 20.00
Accommodation	EUR 80.00	No (employee booked hotel)	EUR 80.00
TOTAL (Breakfast + Dinner + Hotel)			EUR 110.00

Without employer-provided lunch the total would have been: EUR 10 + EUR 20 + EUR 20 + EUR 80 = EUR 130.00

Scenario Variations — Sum of Separate Rates

Scenario	Components Claimed	Payout
Only dinner claimed (late departure)	Dinner only	EUR 20.00
All 3 meals + hotel	Breakfast + Lunch + Dinner + Accommodation	EUR 130.00
Employer provides all 3 meals	Accommodation only	EUR 80.00
No overnight, all meals	Breakfast + Lunch + Dinner	EUR 50.00
Lunch provided, no hotel	Breakfast + Dinner	EUR 30.00

Section 4 — Method 3: Daily Time Range Rates

Overview

A single daily rate that changes depending on how many hours the employee was absent from home or office. You define time bands (e.g. 0–8h, 8–24h, 24h+) and assign a different total rate to each band. Oracle checks the total hours of absence for that day and automatically selects the matching band rate. There are no meal components — just one total for the time band.

Use this when: National legislation defines a tiered daily allowance based on hours of absence — a full day rate, a reduced half-day rate, and often zero for short trips. This is the most common method for statutory domestic per diem rules across multiple countries.

Example — Tiered Domestic Per Diem (3-Band Policy)

Scenario: Policy: Less than 8h = EUR 0 | More than 8h = EUR 14 (travel day) | 24h or more = EUR 28 (full day).
Employee: Monday 6h absent, Tuesday full overnight (24h+), Wednesday 10h return day.

Day	Hours Absent	Band Matched	Rate Applied	Amount
Monday	6 hours	0 to < 8 hours	EUR 0 — below threshold	EUR 0.00
Tuesday	24+ hours	≥ 24 hours (full day)	EUR 28 — full day rate	EUR 28.00
Wednesday	10 hours	> 8h travel day	EUR 14 — travel day rate	EUR 14.00
TOTAL				EUR 42.00

Example Time Band Reference (Multi-Country)

Country / Policy	Duration Band	Rate	Currency	Notes
Country A (3-band rule)	< 8 hours	0.00	EUR	No allowance payable
	> 8 hours (travel day)	14.00	EUR	Arrival/departure day
	≥ 24 hours (full day)	28.00	EUR	Full calendar day
Country B (4-band rule)	≤ 5 hours	Voucher	Local	Meal voucher — no cash
	5 to 12 hours	155	Local	Short business trip
	12 to 18 hours	236	Local	Extended trip
	> 18 hours	370	Local	Full day / overnight
Country C (1/12 rule)	≤ 3 hours	0.00	EUR	0/12 — no allowance
	3 to 4 hours	8.80	EUR	4/12 of full day rate
	> 11 hours	26.40	EUR	12/12 — full day

Section 5 — Method 4: Sum of Separate Time Range Rates

Overview

The most complex method. This combines Method 2 (separate meal components) and Method 3 (time bands). The allowance is split into components like Method 2, but each individual component also has its own time threshold before it unlocks — like Method 3. Oracle checks: for each component, has the employee been absent long enough? If yes, include it in the sum.

Use this when: Legislation specifies that different meal allowances unlock at different hours of absence — e.g. breakfast is payable only after 4h away, lunch only after 8h, dinner only after 12h. This is less common but required in specific national frameworks.

Example — Component + Time Band Policy

Scenario: Policy: Breakfast EUR 10 unlocks after 4h | Lunch EUR 20 unlocks after 8h | Dinner EUR 20 unlocks after 12h | Accommodation EUR 60 for overnight. Employee absent 10 hours (7am to 5pm — no overnight stay).

Component	Unlocks After	Actual Absence	Threshold Met?	Amount Paid
Breakfast	4 hours	10 hours	YES	EUR 10.00
Lunch	8 hours	10 hours	YES	EUR 20.00
Dinner	12 hours	10 hours	NO — only 10h	EUR 0.00
Accommodation	Overnight stay	No overnight	NO	EUR 0.00
TOTAL (only unlocked components paid)				EUR 30.00

How Payout Changes by Duration — Same Policy

Trip Duration	Components Unlocked	Calculation	Payout
3 hours	None (below all thresholds)	EUR 0 — no threshold met	EUR 0.00
5 hours	Breakfast only (4h+ met)	EUR 10	EUR 10.00
10 hours	Breakfast + Lunch (8h+ met)	EUR 10 + EUR 20	EUR 30.00
14 hours	All 3 meals (12h+ met)	EUR 10 + EUR 20 + EUR 20	EUR 50.00
Overnight + 14h	All 3 meals + accommodation	EUR 10 + 20 + 20 + 60	EUR 110.00

Section 6 — Side-by-Side Comparison: All Four Methods

The table below applies all four methods to exactly the same employee trip, showing how Oracle calculates differently with each method — even for identical trip data.

Scenario: Employee absent 10 hours on Monday (7am to 5pm, no overnight). Employer provided lunch. Component rates: Breakfast EUR 10 | Lunch EUR 20 | Dinner EUR 20 | Flat daily rate EUR 50 | Travel day rate EUR 14.

Method	How Oracle Calculates	Calculation Detail	Lunch Deducted?	Payout
1 — Daily rate	EUR 50 flat × 1 day. Hours ignored.	EUR 50.00 flat. With 40% meal deduction: EUR 50 – EUR 20 = EUR 30	Only if % deduction configured	EUR 50
2 — Sum of separate rates	B + L + D components. Lunch removed (employer-provided).	EUR 10 (B) + EUR 0 (L deducted) + EUR 20 (D) = EUR 30	YES — full EUR 20 removed	EUR 30
3 — Daily time range rates	10h → matches >8h band → EUR 14 total.	EUR 14.00 band rate. With 40% deduction: EUR	Only if % deduction	EUR 14

		14 – EUR 5.60 = EUR 8.40	configured on band	
4 — Sum of separate time ranges	B (4h met) + L (8h met, deducted) + D (12h NOT met)	EUR 10 (B) + EUR 0 (L deducted) + EUR 0 (D: 12h not reached)	YES — EUR 20 removed	EUR 10

⚠ CRITICAL: Method Choice Has Significant Financial Impact

Same 10-hour trip, same employer-provided lunch — payout ranges from EUR 10 to EUR 50 depending on method selected. Choosing the wrong method will cause systematic over- or under-payment on every expense report submitted.

Section 7 — Country Policy-to-Method Mapping

Use this table to confirm which Rate Calculation Method to select for each per diem policy in your business unit. The mapping is driven by the applicable national legislation or company policy for each country.

Policy / Scenario	Select Method	Why This Method	Key Rate Bands / Details
Domestic Travel — Country A (e.g. tiered bands)	Method 3	Legislation: 3 tiered bands by hours	< 8h = EUR 0 > 8h = EUR 14 ≥ 24h = EUR 28
Foreign Travel — Country A (flat per destination)	Method 1	One flat rate per country per day	Published foreign rate table — 200+ countries
Domestic Travel — Country B (4 time bands)	Method 3	Labor Code: 4 time bands in local currency	≤5h Voucher 5-12h 155 12-18h 236 >18h 370 (local currency)
Foreign Travel — Country B (partial day + location)	Method 3	Duration bands applied to per-country daily rate	Time bands × country location rates
Domestic Travel — Country C (one-twelfth rule)	Method 3	Statutory 1/12 rule: 10 bands	EUR 0 to EUR 26.40 in 1/12 steps from 3h threshold
Foreign Travel — Country C (same rule, foreign rates)	Method 3	One-twelfth applied to foreign rate	10 duration bands × country location rates
Domestic Travel — Country D (flat overnight)	Method 1	Flat rate by overnight stay (Y/N)	Confirm local currency amounts with country entity
Foreign Travel — Country D (per destination)	Method 1	One rate per destination country	Location determinant ON
Domestic Travel — Country E (3 bands)	Method 3	Labor Code: 3 duration bands	< 8h = 0 8-12h = half rate > 12h = full rate
Foreign Travel — Country E (bands + location)	Method 3	Duration bands + location rates	3 bands × destination country rates
Domestic Travel — Country F (flat daily)	Method 1	Flat daily rate — confirm with entity	Confirm local currency amounts with entity

Foreign Travel — Country F (per destination)	Method 1	One rate per destination country	Location determinant ON
--	-----------------	----------------------------------	----------------------------



Note on Methods 2 and 4

Methods 2 and 4 are only required where national legislation or company policy specifically mandates component-level tracking. Review each country's statutory framework before selecting these methods.

Section 8 — Quick Decision Guide

Use these questions to determine which method to select when configuring any new per diem policy.

Question to Ask Yourself	Method to Select
Does legislation define a single flat amount per travel day (same regardless of hours absent)?	Method 1 — Daily rate
Is this a foreign travel policy where each destination country has its own flat daily rate?	Method 1 — Daily rate
Does legislation define different allowances depending on total hours absent (e.g. 0 / half / full rate)?	Method 3 — Daily time range rates
Does this apply to countries with statutory tiered domestic per diem rules?	Method 3 — Daily time range rates
Does policy split allowance into separate meal/accommodation components each with a fixed rate — no time thresholds?	Method 2 — Sum of separate rates
Does policy split into meal components AND each component only unlocks after a different minimum absence threshold?	Method 4 — Sum of separate time range rates